THE NATIONAL COMPANY LAW TRIBUNAL
BENCH V, AT NEW DELHI

CA (CAA)-5/230/232/ND/2022

Under Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF:

SCHEME OF ARRANGEMENT

OF

PURESOFTWARE PRIVATE LIMITED

... (Demerged Company/Applicant No 1)

AND

PURESOFTWARE TECHNOLOGIES PRIVATE LIMITED

... (Resulting Company/Applicant No 2)

Order Reserved On: 17.02.2022
Order pronounced on: 11.03.2022

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (J)

SH. AVINASH K. SRIVASTAVA, HON'BLE MEMBER (T)

PRESENT

For the Applicants : Ravi Sharma

MEMO of PARTIES

In the Matter of Companies Act, 2013
Section 230 to 232

In the Matter of:

PURESOFTWARE PRIVATE LIMITED

Company incorporated under the Companies Act, 2013
Having Registered Office at:
Suite 523, DLF Tower B, Plot No. 11,
Jasola, New Delhi 110025
CIN: **U72200DL2005PTC134669**

Through its authorized signatory
Mr.Sanjeev Kumar (Director- Finance)
Email: Sanjeev.manan@puresoftware.com

--- (DEMERGED COMPANY / APPLICANT NO 1)

AND

PURESOFTWARE TECHNOLOGIES PRIVATE LIMITED
Company incorporated under the Companies Act, 2013
Having Registered Office at:
Suite 523, DLF Tower B, Plot No. 11,
Jasola, New Delhi 110025
CIN: **U72900DL2021PTC388597**

Through its authorized signatory
Mr. Surendra Lunia (Director)
Email: surendra.lunia@infotelgroup.in

... (RESULTING COMPANY/ APPLICANT NO 2)

ORDER

PER SH. AVINASH K. SRIVASTAVA, MEMBER (TECHNICAL)

1. This application has been jointly filed on 18.12.2021 by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate directions for dispensing with the holding/convening of the meetings of the respective shareholders and creditors of both the Applicant companies for approval of the proposed Scheme of Arrangement as contemplated between the Applicant companies. The said Scheme of Arrangement (hereinafter referred to as the "Scheme") has been placed on record **Annexure A-1** along with the joint application.
2. It is represented that the registered office of both the applicant companies is situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench.
3. **Applicant No. 1/ Demerged Company** was incorporated under the Companies Act, 1956 as unlisted private limited company on 04th April 2005 in the name and style of **"PT PURETESTING SOFTWARE PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN **U72200DL2005PTC134669**.The name of the Company was changed from **"PT PURETESTING SOFTWARE**

PRIVATE LIMITED to PURESOFTWARE PRIVATE LIMITED" with effect from 19th May, 2014. Its authorized share capital is Rs. 3,62,20,000/- divided into 3,50,00,000 equity shares of Re. 1/- each and 10,000 Preference Shares of Rs. 122 each, while its issued, subscribed, and paid-up capital is Rs. 2,97,95,317/- divided into 2,96,73,317 Equity Shares of Re. 1/- each and 1,000 Preference Shares of Rs. 122/- each.

4. **Applicant No. 2/ Resulting Company** was incorporated under the Companies Act, 2013 as unlisted private limited on 21st October 2021 in the name and style of **"PURESOFTWARE TECHNOLOGIES PRIVATE LIMITED"** with the office of Registrar of Companies, NCT of Delhi and Haryana, under the CIN. **U72900DL2021PTC388597.**Its authorized share capital is Rs. 1,00,000/-divided into 1,00,000 equity shares of Re. 1/- each, while its issued, subscribed, and paid-up capital is Rs. 1,00,000/- divided into 1,00,000 equity shares of Re. 1/- each.
5. The proposed Arrangement as envisaged in Scheme, is driven by the following objectives and is likely to result in the following advantages:
    a) To focus on core business, i.e., Software Development and Services Business Undertaking both in scale and operations;
    b) Providing better flexibility in accessing capital, focused strategy, global expansion and sustained growth;
    c) Creation of value for all stakeholders and shareholders

d) Enabling better and more efficient management and control of Software Development and Services Business Undertaking,

e) Realignment and consolidation of its Software Development and Services Business Undertaking in Resulting Company in efficient manner and building strong capability to effectively meet future challenges and competitive business environment and segregating Software Development and Services Business Undertaking from non-core business

f) More focused management and greater visibility on the performance and cash flows of individual businesses

g) Software Development and Services Business Undertaking has significant potential for growth. The nature of risk, competition, challenges, opportunities and investors profile for this Software Development and Services Bus Undertaking is separate and distinct from the other businesses of the Demerged Company.

6. It is submitted that as on 15 Dec 2021, Demerged Company neither have any Secured Creditor nor any Unsecured Creditor and Certificate by Statutory Auditors verifying the list of the Secured Creditors and Unsecured Creditors is placed on record **Annexure A-10.**

7. It is submitted that as on 15 Dec 2021, Resulting Company neither have any Secured Creditor nor any Unsecured Creditor and Certificate by Statutory Auditors

verifying the list of the Secured Creditors and Unsecured Creditors is placed on record **Annexure A-17.**

8. It is also declared by the Applicant Companies that as per Sec 230(2) (c), the scheme is not a corporate debt restructuring scheme and hence a creditor's responsibility statement and other requirements under Sec 230 (2) (c) are not applicable.

9. It is submitted that the Demerged Company has 6 equity shareholders and 1 preference shareholder and no secured as well as unsecured creditors. The certificate of chartered accountant certifying the list of equity shareholders and preference shareholders has also been placed on record **(Annexure A-8).** All the shareholders have given their written consent for the proposed arrangement and their consent affidavit has also been placed on record **(Annexure A-9).** In respect of shareholders, prayer has been made for issuance of directions for dispensing the convening of the meeting of the shareholders.

10. The Resulting Company has 2 Equity Shareholders and do not have any secured or unsecured creditor. The certificate of chartered accountant certifying the list of equity shareholders and preference shareholders has also been placed on record **(Annexure A-15).**All the shareholders have given their written consent for the proposed arrangement and their consent affidavit has also been placed on record **(Annexure A-16).**In respect of shareholders, prayer has been made for issuance of directions for dispensing their respective meetings.

11. We have perused the joint application and the connected documents/ papers filed herewith including the Scheme of Arrangement contemplated between the Applicant companies.

12. It is further submitted that the Board of directors of both the applicant companies vide separate Board meetings, held on 02.12.2021 respectively have unanimously approved the proposed Scheme of Arrangement and copies of such board resolutions passed there have been placed on record by the companies **(Annexure A-7,14 (colly))**

13. That the Demerged Company has filed its Memorandum and Articles of Association and has also filed its latest audited financial statements for the year ending 31.03.2021**(Annexure A-5)** and provisional balance sheet as on 30.09.2021 **(Annexure A-6).**

14. That the Resulting Company has filed its Memorandum and Articles of Association and has also filed its provisional financial statements as on 15.12.2021**(Annexure A-13).**

15. Both the Applicant companies have submitted that no investigation proceedings are pending under the provisions of the Companies Act against any of the Applicant Company. In this regard, a separate affidavit in accordance to Sec 230(2)(a) has been placed on record **(Annexure A-2,3 (colly))**

16. Further, it has been stated in the application that the Scheme is not prejudicial to the interests of the shareholders, and creditors of the Applicant companies.

The Scheme will be beneficial to all the Applicant companies and their respective shareholders and creditors.

17. The certificates of statutory auditors of all the Applicant companies confirming that the accounting treatment in the scheme is in compliance of and in conformity with Section 133 of the Companies Act, 2013 have been placed on record **Annexure A-19.**

18. The Applicant Companies have also placed on record **Annexure A-20** "Fairness opinion dated 16.12.2021" received from Company Auditors.

19. The Applicant Companies has vide separate additional affidavit dated **16.02.2022** provided clarification that:

- the issued equity share capital of the Demerged Company as on date of filing of the present scheme is Rs. **2,96,73,317/- divided into 2,96,73,317 shares of Re. 1/- each.**
- Pursuant to the scheme of demerger, Resulting Company will issue shares to the shareholders of Demerged Company in the following ratio:
    - 1 equity share of Re. 1/- each of the Resulting Company will be issued and allotted for every 1 equity share of Re. 1/- each held in the Demerged Company as on the Record date.
    - 1 compulsory convertible preference share of Rs. 122/- each of the Resulting Company will be issued and allotted for every 100 compulsory convertible preference share of Rs. 122/- each held in the demerged Company as on the record date.

- The Resulting Company undertakes to increase the Authorized Share Capital of Rs. 1,00,000/- divided into 1,00,000 equity shares of Re. 1/- each to **Rs. 3,50,00,000 divided into 3,50,00,000 equity shares of Re. 1/- each and Rs. 1,22,000/- divided into 1,000 preference shares of Rs. 122/- each. The Total Authorized Share Capital of the Resulting Company shall stand as Rs. 3,51,22,000/-.**
- Pursuant to the scheme of demerger, the Software Development and Services Business Undertaking i.e.
  - Development of Software for Sectors like Financial, Life Sciences & Healthcare, Telecom & Semiconductors, Retail & Logistics and Entertainment
  - Software services like Application Testing, Application Support & Maintenance and other such services

shall stand transferred to the Resulting Company. Post Demerger the Demerged Company shall continue to provide other services i.e. Payment Gateway Application Services, Management Consultancy & Advisory Services & other ancillary activities of investment of surplus funds of Company.

20. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued:

A. IN RELATION TO DEMERGED COMPANY

i. **With respect to Equity Shareholders:**

Meeting of the 6 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed arrangement.

ii. **With respect to secured creditors:**

As there is no secured creditor in the Demerged Company, the requirement of convening meeting of unsecured creditors does not arise.

iii. **With respect to unsecured creditors:**

As there is no unsecured creditor in the Demerged Company, the requirement of convening meeting of unsecured creditors does not arise.

B. IN RELATION TO RESULTING COMPANY

i. **With respect to Equity Shareholders:**

Meeting of the 2 equity shareholders is directed to be dispensed with as the 100% written consent has been obtained by way of affidavits for the proposed arrangement.

ii. **With respect to secured creditors:**

As there is no secured creditor in the Resulting Company, the requirement of convening meeting of secured creditors does not arise.

iii. **With respect to unsecured creditors:**

As there is no unsecured creditor in the Resulting Company, the requirement of convening meeting of unsecured creditors does not arise.

21. The application stands allowed in the aforesaid terms. Let the copy of the order be served to the parties.

Sd/-

AVINASH K. SRIVASTAVA
MEMBER (TECHNICAL)

Sd/-

ABNI RANJAN KUMAR SINHA
MEMBER (JUDICIAL)